UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	Docket No. RM26-4-000

INITIAL COMMENTS OF THE ORGANIZATION OF PJM STATES, INC.

On October 23, 2025, the Secretary of the Department of Energy ("Secretary") directed the Federal Energy Regulatory Commission ("FERC" or the "Commission") to consider an Advance Notice of Proposed Rulemaking ("ANOPR") regarding the interconnection of large loads to the interstate transmission system and issue a final action by April 30, 2026.[1] The ANOPR listed fourteen principles that should inform the Commission's rulemaking.[2] On October 27, 2025, the Commission issued a Notice Inviting Comments on the proposed ANOPR.

The Organization of PJM States, Inc. ("OPSI")[3] appreciates the importance of efficiently interconnecting new loads but emphasizes the importance of maintaining visibility into the allocation of costs to ensure they are being assigned to cost causers. OPSI, like the National Association of Regulatory Utility Commissioners ("NARUC"),[4] underscores the importance of maintaining the long-established boundary between federal and state authority and urges the Commission to maintain the current jurisdictional framework. The Commission should carefully limit the scope of this rulemaking to ensure that any final action preserves jurisdictional clarity

---

[1] Secretary of Energy, *Secretary of Energy's Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary's Authority Under Section 403 of the Department of Energy Organization Act* (Oct. 23, 2025) ("ANOPR").
[2] ANOPR at § V.
[3] OPSI's following members support these comments: the Delaware Public Service Commission, Public Service Commission of the District of Columbia, Illinois Commerce Commission, Indiana Utility Regulatory Commission, Kentucky Public Service Commission, Maryland Public Service Commission, Michigan Public Service Commission, New Jersey Board of Public Utilities, North Carolina Utilities Commission, Pennsylvania Public Utility Commission, Tennessee Public Utility Commission, Virginia State Corporation Commission, and Public Service Commission of West Virginia. The Public Utilities Commission of Ohio abstained in the vote on these comments.
[4] NARUC, *Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceeding*, (Nov. 11, 2025) ("NARUC Resolution").

and respects the states' protected oversight of retail service and the distribution of electricity to retail loads by local utilities. OPSI looks forward to working with the Commission to define the scope of this proceeding and advance collaborative solutions to ensure regulatory oversight that promotes the safe, timely and reliable interconnections of large loads without infringing on the legal authority of states to regulate sales and interconnection with retail customers.

I. COMMENTS

OPSI shares the Secretary's focus on ensuring timely and non-discriminatory interconnections of large loads and appreciates the Secretary's recognition that the Commission has not historically exercised jurisdiction over the interconnection of loads.[5] However, the ANOPR states, "In light of the unprecedented current and expected growth of large loads seeking to interconnect to the transmission system, and to provide open access and non-discriminatory access to the transmission system, it has become necessary to standardize interconnection procedures and agreements for such loads."[6] The ANOPR frames this new exercise of jurisdiction as consistent with the Commission's landmark orders promoting open access to the transmission system for generators and standardizing generator interconnection rules.[7] However, while it is commonplace for wholesale service generation to connect directly to the interstate transmission grid, it is rare, if ever, that load does so. Rather, nearly all load connects via a retail service provider or similar entity over which the Federal Power Act ("FPA") conveys no authority to the Commission.

The most expedient way to advance reliable and timely interconnection is to honor long-standing jurisdictional precepts recognizing state authority over retail load interconnections. Rather than relitigating the long-standing division of authority related to load interconnections, it

---

[5] ANOPR at p. 1.
[6] *Id.* at P 9.
[7] *Id.* at §§ II.C and II.D.

would be more efficient to search for solutions that promote consensus between the states and the Commission rather than rushing questionable modifications to long-standing, statutorily defined jurisdictional divisions.

Indeed, NARUC has stated that to be legally durable, to ensure any final action does not further challenge resource adequacy and does not further delay the interconnection of large loads, FERC should "preserve and affirm states' retail regulatory authority under the FPA, ensure that large load interconnections do not compromise grid reliability or impose undue costs on retail customers, and respect state tools for promoting system flexibility and equitable cost allocation."[8] NARUC has written that "it is imperative that FERC, in any final rulemaking, make clear that it is… not asserting jurisdiction over end-use sales, which falls squarely within the exclusive jurisdiction of state retail energy regulatory authorities."[9]

OPSI agrees that it will be crucial that the Commission narrow the scope of this proceeding to ensure it does not assert jurisdiction over retail loads subject to the jurisdiction of any state regulatory authority.

A. The Commission Should Preserve and Affirm State Retail Regulatory Jurisdiction

States are already regulating the interconnection of large loads, and there is no incentive for load serving entities to discriminate among customers as they process new large load interconnection requests. To the contrary, load-serving entities and states have every incentive to process them in a timely manner while considering impacts on other customers. PJM's capacity market construct is sending high price signals, and it is expected to continue to do so until supply and demand come back into balance. Therefore, the Commission should closely analyze and fully

[8] NARUC Resolution.
[9] *Id.*

articulate why current processes are no longer just and reasonable and how it will preserve the existing jurisdictional framework as it remedies any identified deficiencies.

The FPA was created to fill a jurisdictional gap that existed prior to the creation of the Federal Power Commission, recognizing the Constitution bars states from regulating interstate commerce.[10] As the Supreme Court wrote, "In the early 20th century, state and local agencies oversaw nearly all generation, transmission, and distribution of electricity"[11] and associated wholesale and retail sales. However, with the advent of interstate sales of electricity, only Congress could fill that regulatory void, and Congress's response was the FPA. The resulting statutory division explicitly states that the FPA "shall apply to the transmission of electric energy in interstate commerce and to the sale of electric energy at wholesale in interstate commerce, but... shall not apply to any other sale of electric energy"[12], "most notably, any retail sale—of electricity."[13] The FPA provides that States retain jurisdiction over "facilities used for the generation of electric energy."[14] Further, "[a]ll rates and charges made, demanded, or received by any public utility for or in connection with the [jurisdictional] transmission or sale of electric energy . . . shall be just and reasonable."[15] Pursuant to Section 201(b), States have exclusive jurisdiction "over facilities used for the generation of electric energy or over facilities used in local distribution or for the transmission of electric energy in intrastate commerce, or over facilities for the transmission of electric energy consumed wholly by the transmitter."[16]

---

[10] *Public Util. Comm'n of R.I. v. Attleboro Steam & Elec. Co.*, 273 U.S. 83 (1927).
[11] *FERC v. Elec. Power Supply Ass'n*, 577 U.S. 260, 266 (2016) (*EPSA*).
[12] 16 U.S.C. 824(b).
[13] 577 U.S. at 265.
[14] 16 U.S.C. § 824(b).
[15] *Id.* at § 824d(a); *See also, Pacific Gas & Elec. Co. v. State Energy Res. Conservation & Dev. Comm'n*, 461 U.S. 190, 212 (1983).
[16] *Id.* at § 824(b).

The jurisdictional line began as "clear and complete… [cutting] sharply and cleanly between sales for resale and direct sales for consumptive uses."[17] This has evolved, as relevant here, up to and through *EPSA v. FERC* in which the Supreme Court approved "a common-sense construction of the FPA's language, limiting FERC's 'affecting' jurisdiction to rules or practices that 'directly affect the [wholesale] rate….'"[18]

The matters in this docket are likely to further test the extent to which State-jurisdictional processes can impact wholesale rates and rules. The ANOPR states, "Any large load that seeks to interconnect to the transmission system does so to obtain transmission service and the appurtenant benefits of such."[19] The Commission should examine this statement closely, recognizing that while load serving entities may seek transmission service for this purpose, ultimate end use customers primarily seek interconnection service, through their load serving entity in order to purchase power at retail. Large loads ultimately interconnect to electric facilities to purchase electricity for consumptive purposes. They do not resell such purchased power.

The ANOPR attempts to overcome this by asserting jurisdiction over interconnections to the transmission system. It provides four core justifications for Commission jurisdiction over these interconnections: (1) that large load interconnections are a critical component of open access transmission service, (2) that they directly affect Commission-jurisdictional wholesale electricity rates, (3) that the proposed rule does not impinge on states' authority over retail electricity sales, and (4) that any contrary view conflicts with the FPA's core purposes.[20] Any federal rules that

---

[17] *Panhandle Eastern Pipe Line Co. v. Pub. Serv. Comm'n*, 332 U.S. 507, 517 (1947), *quoted in FPC v. S. Cal. Edison Co.*, 376 U.S. 205, 215 (1964).
[18] *EPSA*, 577 U.S. at 278 citing *California Independent System Operator Corp. v. FERC,* 372 F.3d 395, 403 (2004).
[19] ANOPR at P 10.
[20] *Id.* at § IV.

override state jurisdiction over retail loads in any way will, in fact, affect state regulation of retail electric service and retail ratemaking in the state.

The ANOPR cites FERC Orders No. 888 and 2003 as foundation for its assertion of jurisdiction to regulate large load interconnections to the transmission system. However, it is important to remember that FERC issued Order No. 888 because of the incentive and ability of vertically integrated utilities to favor their own *generating* resources when providing access to the transmission system and that FERC issued Order No. 2003 to remedy inefficiencies in generator interconnection practices. Unlike generation interconnection, utilities have no incentive to discriminate against large loads, which represent new retail sales and investment opportunities. The ANOPR provides no evidence that current state- or utility-administered interconnection processes are discriminatory. Indeed, many states are already actively regulating the interconnections of large loads. The Commission should carefully explore and explain its understanding of historical and current discrimination among customers seeking to purchase electricity, as opposed to those seeking to sell electricity, which was the primary focus of Order Nos. 888 and 2003. Generators, unlike end-use customers, are participants in the wholesale market. OPSI is concerned that, by permitting end use customers to connect directly to the transmission grid, the Commission will seemingly expand its jurisdiction well beyond that provided by the FPA, i.e., into retail service.

Today, in the PJM-region, utilities provide PJM their large load adjustments and PJM considers those requests as it develops its annual load forecast, which drives regional transmission planning and provides a direct input into PJM's Reliability Pricing Model. If the Commission allows large load interconnections to proceed more quickly than new generation can come on to serve that load, the only response PJM's capacity construct can provide is to continuously send high price signals until the needed generation materializes. However, as the Commission is well aware, there is a vigorous debate within PJM about the efficacy of these extremely high price signals in the current environment, which is slow to bring on new generation and if they are ultimately inactionable with respect to the incentivization of new generation resources. Further, PJM is pursuing a Critical Issue Fast Path Process that just concluded this week to address the issue of large load additions in the PJM region.[21] However, even after the conclusion of this initial phase, PJM envisions more work may be needed to further adjust its practices to accommodate this large load growth without harming existing customers or system reliability.[22] OPSI has weighed into this process, urging PJM to not rely solely on voluntary solutions to unprecedented large load growth.[23]

The Commission has rightly been reluctant to assert jurisdiction over transmission services that are inextricably linked to retail sales, recognizing this would raise numerous difficult jurisdictional issues.[24] Because of the long-standing role of states and state-jurisdictional entities in regulating the pace and service levels of retail loads that by necessity are interconnecting through a local load-serving utility, a durable solution may very well warrant joint state-federal

---

[21] *See* Critical Issue Fast Path - Large Load Additions, available at: https://www.pjm.com/committees-and-groups/cifp-lla; *See also* PJM Board of Directors, PJM Board Letter Regarding Implementation of Critical Issue Fast Path Process for Large Load Additions, (Aug. 8, 2025) available at: https://www.pjm.com/-/media/DotCom/about-pjm/who-we-are/public-disclosures/2025/20250808-pjm-board-letter-re-implementation-of-critical-issue-fast-path-process-for-large-load-additions.pdf.

[22] PJM, Executive Summary: PJM Large Load Additions CIFP Stage 4 Package at § 4 (Nov. 11, 2025), available at: https://www.pjm.com/-/media/DotCom/committees-groups/cifp-lla/2025/20251119/20251119-item-02a---pjm-lla-cifp-stage-4-package---executive-summary.pdf.

[23] OPSI Commission Staff, Commission Staff Position Statement on CIFP (Nov. 10, 2025) available at: https://opsi.us/wp-content/uploads/2025/11/OPSI-Staff-Position-Statement-on-CIFP.pdf.

[24] *New York v. FERC*, 535 U.S. 1, 27 (2002). *See* New York v. FERC, 535 U.S. 1, 30 (2002) (Thomas, J., dissenting) (observing that "[i]t is certainly possible, perhaps even likely, that the only way to remedy undue discrimination and ensure open access to transmission services is to regulate all utilities that operate transmission facilities, and not just those that use their own lines for the purpose of wholesale sales or in connection with unbundled retail transactions.'") *See also EPSA*, 577 U.S. at 298 (Scalia, J., dissenting) ("If the purchaser is one who resells electric energy to other customers, the transaction is one 'at wholesale' and thus within FERC's authority. If not, then not. Or so, at least, says the statute.").

regulation of this important issue as allowed by the FPA's cooperative mechanisms, rather than a unilateral federal assertion of control via rulemaking.

B. Options and Examples for Regulatory Coordination

OPSI urges the Commission to carefully evaluate the potential areas of conflict raised by the ANOPR and, should the Commission choose to proceed, work collaboratively with states to preserve the integrity of existing jurisdictional spheres to enable safe, timely and efficient large-load interconnections. OPSI welcomes further discussion on ways to avoid contention and promote the efficient identification and implementation of any needed reforms. Rather than unilaterally imposing federal jurisdiction on these interconnections, FERC should pursue a cooperative approach – potentially, developing voluntary best practices with states or other novel approaches to meet the moment – without undermining state authority or established statutory frameworks.

The FPA allows for processes that foster joint federal-state decision-making. For example, The FPA explicitly authorizes FERC to refer matters to a board comprised of members of the Commission and affected states.[25] The Commission may also confer with state commissions regarding the relationship between rate structures and regulations subject to state and commission jurisdiction and hold joint hearings on matters withing the Commission's jurisdiction.[26]

In other proceedings where there was a potential for state-federal jurisdictional disputes, FERC has utilized an opt-out to promote cooperative federalism in order to ensure as the Supreme Court has put it, "the States retain the last word" with regard to jurisdictionally challenging

[25] 16 U.S.C. 824h.

[26] *Id.* at (b) ("The Commission may confer with any State commission regarding the relationship between rate structures, costs, accounts, charges, practices, classifications, and regulations of public utilities subject to the jurisdiction of such State commission and of the Commission; and the Commission is authorized, under such rules and regulations as it shall prescribe, to hold joint hearings with any State commission in connection with any matter with respect to which the Commission is authorized to act. The Commission is authorized in the administration of this chapter to avail itself of such cooperation, services, records, and facilities as may be afforded by any State commission.").

issues.[27] Even where FERC's jurisdiction over a particular matter is less subject to challenge, cooperation with the states is still essential, as evidenced by the Federal-State Current Issues Collaborative, which built upon the successful conversations held by the Federal-State Task Force on Electric Transmission. FERC and the states have already laid the groundwork to convene conversations on the topics raised in this docket, and the Commission should fully explore whether further joint conversations and decision-making processes are relevant here. These examples, among others, provide avenues for the Commission to proceed in a way that is cooperative rather than coercive, and OPSI stands ready to assist the Commission as it moves forward.

C. The Proposed ANOPR's Fourteen Principles

The ANOPR provides fourteen principles for the Commission's consideration.[28] The core challenge in adopting any of these principles unilaterally is the functional reclassification of a retail function (consumption and local delivery) into a federal one (transmission access), thereby creating significant risks to resource adequacy, affordability, and the long-established jurisdictional balance.

The first two principles potentially pose the greatest risk of federal overreach. First, the ANOPR states that to "*even arguably*" avoid affecting matters within state jurisdiction, the Commission's jurisdiction should be limited to transmission facilities consistent with its seven-factor test.[29] Any final rule in this proceeding must exclude facilities traditionally identified as local distribution under the seven-factor test. But just as importantly, the Commission should consider the consumptive nature of large load transactions as it considers asserting jurisdiction. We urge the Commission to not alter the seven-factor test or make other changes that would

[27] *EPSA*, 577 U.S. at 279.
[28] ANOPR at § V.
[29] *Id.* at 18 (emphasis in original).

redefine which facilities are considered transmission subject to FERC's jurisdiction. Such an expansion in Federal jurisdiction would lead to confusion and likely conflict between federal regulation and state-approved tariffs.

Second, the ANOPR states that the reforms in this docket should apply to new loads greater than 20 MW.[30] This threshold is likely too small to make interconnection processes meaningfully more efficient and may overtake state-level proceedings where voltage thresholds have been set higher than this threshold. States in the PJM region are considering or have approved thresholds for large load additions ranging from 25 to 100 MW.

OPSI also appreciates the ANOPR's principles on financial readiness,[31] cost responsibility,[32] and the option to build[33] as it will be critical to provide for the recovery of costs created by these large loads accurately. This is a retail ratemaking responsibility within the legal purview of states. FERC should not attempt to take such jurisdiction over retail rates through round about interconnection rules. It is imperative that large loads looking to interconnect bear their fair share of transmission costs and that the Commission deter harmful speculation as these loads seek to interconnect. FERC rules must not impede the state's traditional right to perform prudency reviews and conduct cost causation analysis necessary to protect local ratepayers from costs they did not cause, especially where transmission charges are based on withdrawal rights. Further, granting the customer an option to build must explicitly recognize that state siting and permitting authority is absolute. Further, it is the experience of OPSI states that large load interconnections will in many, if not most, instances necessitate the construction of new grid facilities whose costs must be appropriately recognized and allocated, a job the states are particularly well-suited to

---

[30] *Id.* at P 19.
[31] *Id.* at P 21.
[32] *Id.* at P25.
[33] *Id*. at P 26.

undertake. If large load additions come with its own generation and FERC promotes the more efficient study of generation and load together, this could be an incentive for these loads to bring their own generation.

Additionally, it will be critical that any final action in this proceeding not degrade overall system reliability. To that end, OPSI appreciates the ANOPR's principles on system protection,[34] reliability-must-run studies,[35] and ensuring compliance with North American Electric Reliability Corporation standards.[36] However, just as importantly it will be necessary for the Commission to consider how reliability and resource adequacy will be maintained if load is added to the system but not balanced with new generation. The Commission should clarify who is responsible for meeting resource adequacy and reliability obligations in both restructured and vertically integrated contexts.

Lastly, because of the important jurisdictionally-challenging issues raised in the ANOPR, it is likely that parties will challenge any modifications to the existing jurisdictional landscape. To promote the durability of any final action in this docket, FERC should proceed in the least disruptive manner it can.

II. <u>CONCLUSION</u>

OPSI urges the Commission to exercise restraint as it considers the Secretary's directive, recognizing that large loads purchase electricity at retail and that it is impossible to deliver power to these customers without some level of distribution level infrastructure. OPSI welcomes future, expedited conversations with the Commission as they will be critical in successfully interconnecting large loads efficiently while protecting existing customers. OPSI, like NARUC,

---

[34] *Id.* at P 23.
[35] *Id*. at P 27.
[36] *Id.* at P 31.

underscores the importance of maintaining the long-established boundary between federal and state authority and urges the Commission to maintain the current jurisdictional framework.

Respectfully Submitted,

Gregory V. Carmean
Executive Director
Organization of PJM States, Inc.
700 Barksdale Road, Suite 1
Newark, DE 19711
302-266-0914

Benjamin B. Sloan
Director of Legal and Regulatory Affairs
Organization of PJM States, Inc.
700 Barksdale Road, Suite 1
Newark, DE 19711
601-214-8481
ben@opsi.us

Dated: November 21, 2025

CERTIFICATE OF SERVICE

Pursuant to Rule 2010, 18 C.F.R. § 385.2010, I hereby certify that I have this day caused the foregoing document to be served upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Newark, Delaware on this 21st day of November 2025.

/s/ Gregory V. Carmean
Gregory V. Carmean
Executive Director
Organization of PJM States, Inc.
700 Barksdale Road, Suite 1
Newark, DE 19711
Tel: 302-266-0914